



# Compound Growth Cheat Sheet

*For your Wisdom: the long game, in numbers.*

**John says:** Compound growth is the closest thing to magic in this tavern. You earn returns on your returns, and time does the heavy lifting. Here's what steady looks like.

## The Rule of 72

Divide 72 by your yearly return to estimate how many years it takes money to double. At 6% that's about 12 years. At 7%, about 10. At 8%, about 9.

## Steady monthly saving at a 7% average yearly return

| Per month | After 10 years | After 20 years | After 30 years | You put in over 30 years |
|-----------|----------------|----------------|----------------|--------------------------|
| \$100     | \$17,308       | \$52,093       | \$121,997      | \$36,000                 |
| \$250     | \$43,271       | \$130,232      | \$304,993      | \$90,000                 |
| \$500     | \$86,542       | \$260,463      | \$609,985      | \$180,000                |

Real returns bounce around year to year. Seven percent is a long-run average many planners use for a diversified stock fund, not a promise.

## Why starting matters more than the amount

| Who          | Saves         | For      | At 65 (7%) |
|--------------|---------------|----------|------------|
| Starts at 25 | \$200 a month | 40 years | \$524,963  |
| Starts at 35 | \$200 a month | 30 years | \$243,994  |
| Starts at 45 | \$400 a month | 20 years | \$208,371  |

## Three ways to use this

- Pick a monthly number you can keep up for years, not a big one you'll quit in March.
- Automate it so it happens whether or not you remember.
- When the market dips, keep pouring. Dips are when your money buys more.